FT Alphaville **Kalshi, Inc.**

How prediction market traders reinvented the bond

Betting against the Second Coming or buying US Treasuries?

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Move over US Treasuries. There are some new "bonds" in town.

Prediction markets like Kalshi and Polymarket have ushered in a new bet-on-anything economy with wagers on everything from election results and commodity prices to whether the US will strike Iran, Taylor Swift will announce a pregnancy, or Donald Trump will use the word "TikTok."

These markets allow customers to bet on binary outcomes of future events. Prices, which shape implied odds, are determined by how other market participants bet. And since bonds have played an integral role in the development of human society, from subsistence farming to railway construction, it's only natural that they'd crop up in this economy too.

We're not talking about wagers on the 10-year Treasury yield or the next actor to play James Bond, although those are, indeed, active markets on both Polymarket and Kalshi. We're talking about a new kind of bond — one with a nasty tail risk that might make you question the 'bond' branding.

Among prediction market traders, "bonds" are typically defined as high-confidence bets that will, if they come true, pay out a small return: Essentially, if you're almost 100 per cent sure something will occur and you're being offered 96 per cent odds, some might see that as equivalent to buying a zero coupon bond with a 4 per cent yield. [*Ed: though Alphaville is pedantic enough to insist any readers remember that time to maturity is an essential input in yield calculation.*]

The 'Second Coming' market is perhaps the most prominent example. For atheists, at least, betting against Jesus Christ's return might seem a reliable form of fixed income. Traders who bet against the Second Coming last April, when odds peaked around Easter, netted a 5.5 per cent annualised return, according to Bloomberg, after Jesus failed to reveal himself before the end of 2025.

And it's not just atheists. Even some Christians see this trade as a safe haven: Larry Sanger — the Wikipedia co-founder who has recently taken to accusing the online encyclopedia of being overtaken by "woke" ideology — said on X: "This is free money. Bet that Jesus won't come back. If he doesn't, you win. If he does, will your money really matter?"

(Don't worry: You haven't missed your chance to buy this "bond"! The believers are back betting on Jesus' return in 2026. As of Thursday, bettors on Polymarket were giving it close to 4 per cent odds, which we calculate to be a yield to maturity of 4.76 per cent.)

But traders find "bonds" or "bonding trades" among secular markets, too. Kalshi's former head of operations, Noah Zingler-Sternig, shared one recent discovery on X. He was betting that Zyn, the nicotine pouch brand, would not advertise at the Super Bowl, because FDA marketing rules require its TV adverts to be strictly targeted at over-21s.

Noah Zingler-Sternig
@Nostroah · **Follow**

Some nice bonds for Zyn to NOT air an advertisement during the Super Bowl.

Zyn can't advertise during the Super Bowl halftime show because the massive, untargeted audience includes many viewers under 21.

FDA marketing rules for Zyn require TV ads to be strictly targeted to Show more

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Other “bonding” strategies include betting at more than 98 per cent odds that basketball announcers will use the word “Christmas” on December 24.

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Friendship ended with predicting, bonding is my new best friend

Let's see how long until I inevitably make a costly mistake

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A big issue is liquidity. Trading volumes for US Treasuries typically hit over $1tn every day. In prediction markets, each precise bet must be matched by a counterparty, so you need enough ~~suckers~~ traders to match your wager: As of Tuesday, those seeking to bet against a Second Coming of Jesus Christ in 2026 could only directly execute a maximum of $150,000 in bets at up to 96 per cent odds on Polymarket.

The other downside is a brutal tail risk. If, by some cruel twist of fate, you happen to be wrong about the outcome that defines your "bond", you could lose almost everything.

Domer, one of the most popular prediction market traders on X, warned fellow bettors to distinguish between "bonding" and truly "risk-free" trades.

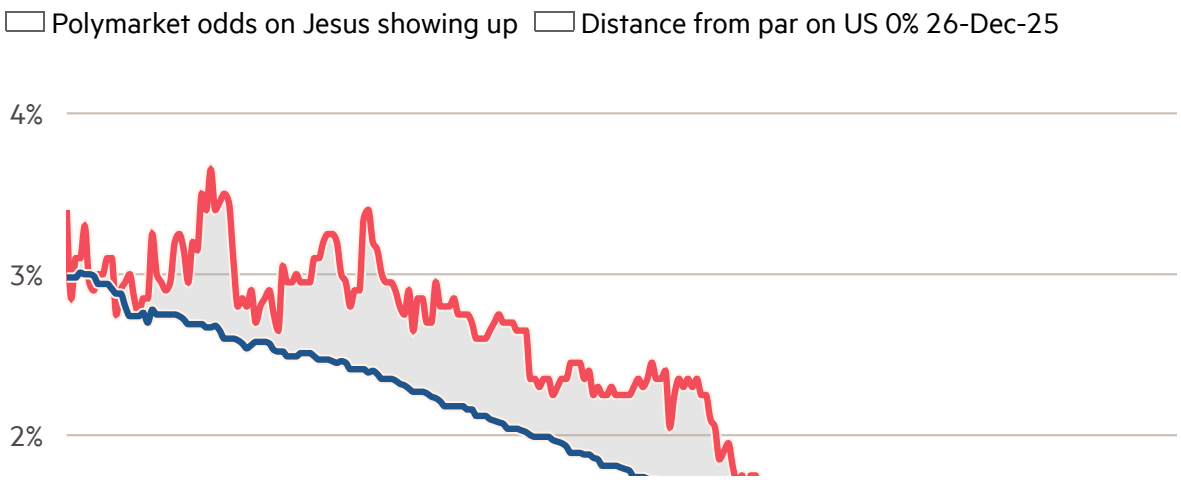
> Bonds being blown up has ended the careers of quite a lot of people . . . You're talking about *nearly* impossible things. And it takes one black swan to crush you.

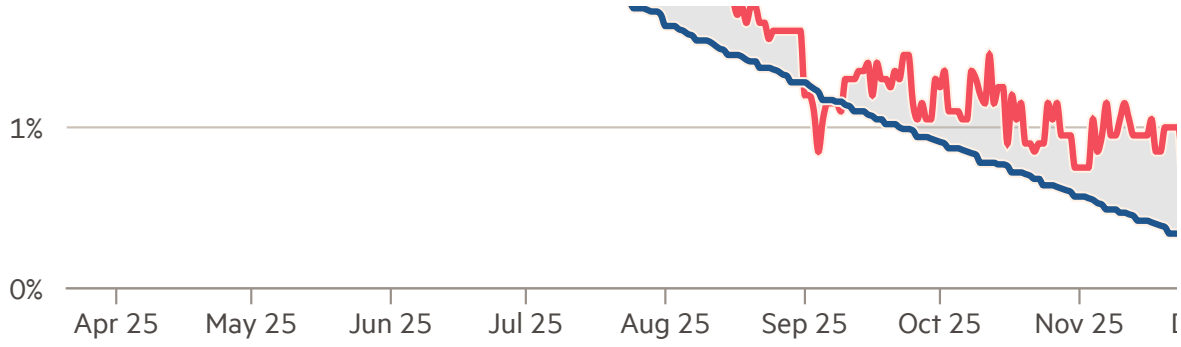
Finally, it's worth asking from a bond nerd perspective quite how good value this so-called free money is, even if you've got perfect foresight of the future. Because once we start to look at Polymarket or Kalshi odds like bond yields — or at least the pull-to-par element of a zero-coupon bond that matures at the settlement date — we need to compare it to the pull-to-par element of other zero-coupon bonds. Say, US T-bills.

And once we throw a comparison into the mix, we find that that so-called free money turns out to look a lot smaller, and maybe not even decent compensation for the illiquidity, operational risk and credit risk involved in the trade:

Pricing odds of the Second Coming and US debt default

Polymarket odds on 'Will Jesus Christ return before 2026?' And the pull-to-par on US T-bills





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